

AN ELEMENTARY INTRODUCTION TO
BUSINESS

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KUTUSH KUMAR, KUTUM PAKHI

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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches An Elementary Introduction to Business one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

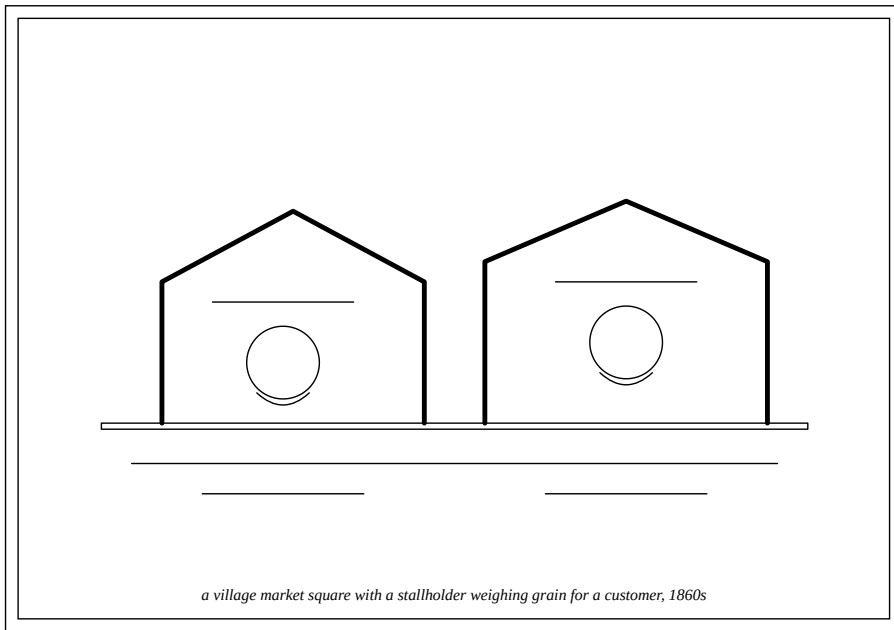
A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



CHAPTER I

What Business Is, Does and Aims For

How does the business idea become a workable decision?



Show a reader with no background what a business is, how trade, commerce and industry fit together, and why businesses exist; this is a foundation chapter that also teaches how to read the book. The chapter builds the idea from ordinary experience to business practice.

revenue. This is the point to carry into the next example in Needs, Wants and Exchange.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Needs, Wants and Exchange.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Needs, Wants and Exchange.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Needs, Wants and Exchange.

Case file, illustrative. Base facts. Rafiq Uddin Mia opened Meghna and Sons, a bookshop in Dhaka, on 4 January 2015. Start-up money was Tk 158,000 of his own savings, used as follows: books for sale Tk 110,000 (500 textbooks bought at an average Tk 220 each); advance paid to the landlord Tk 30,000; shelves and counter Tk 12,000; cash in hand Tk 6,000 ($110,000 + 30,000 + 12,000 + 6,000 = 158,000$). Average selling price Tk 280 per book, so each book sold earns Tk 60 above its cost. Monthly shop rent Tk 9,000. In January 2015 the shop sold 180 books: sales Tk 50,400 (180×280); cost of the books sold Tk 39,600 (180×220); amount left above book cost Tk 10,800. After rent of Tk 9,000 the profit for the month was Tk 1,800. Unsold at 31 January 2015: 320 books with a cost of Tk 70,400 (320×220). Rafiq took no wage for himself that month.

* * *

Before moving on. Needs, Wants and Exchange can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

1.2 WHAT A BUSINESS IS

Suppose you are looking at a business that must make a decision about what a business is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Want** means something a person would like to have but could live without, such as a new phone or a holiday. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business** means an activity that supplies goods or services to customers in the hope of earning a profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

What a Business Is begins with a concrete question before the rule is stated.

Want. something a person would like to have but could live without, such as a new phone or a holiday

The definition gives the boundary of want before the example is applied.

Business. an activity that supplies goods or services to customers in the hope of earning a profit

The definition gives the boundary of business before the example is applied.

10.t6 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

10.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.r6 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

10.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XI · MULTINATIONAL CORPORATIONS

11.t1 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

11.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

11.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

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11.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER XII · INSTITUTIONS AND BUSINESS COMBINATION

12.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

12.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

1.3 TRADE, COMMERCE AND INDUSTRY

Suppose you are looking at a business that must make a decision about trade, commerce and industry. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Exchange** means giving one thing and receiving another in return, whether goods, services or money. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Profit** means the money left over when the costs of running a business are taken away from what it earns. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Industry** means the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Trade, Commerce and Industry is what trade, commerce and industry, and how they fit together changes in an ordinary business decision.

The answer begins with the definition: Trade, commerce and industry, and how they fit together. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Trade, Commerce and Industry is what branches of business and the helping services, including selling online changes in an ordinary business decision.

The answer begins with the definition: Branches of business and the helping services, including selling online. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Trade, Commerce and Industry.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Trade, Commerce and Industry.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts

Trade, Commerce and Industry begins with a concrete question before the rule is stated.

Exchange. giving one thing and receiving another in return, whether goods, services or money

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Industry. the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort

The definition gives the boundary of industry before the example is applied.

The paragraph connects the idea to a practical business question.

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CHAPTER VII · COOPERATIVE SOCIETIES

7.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

7.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

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7.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER VIII · STATE ENTERPRISE

8.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

8.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

8.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

customers can affect service and revenue. This is the point to carry into the next example in Features, Functions and Aims of Business.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Features, Functions and Aims of Business.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Features, Functions and Aims of Business.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Features, Functions and Aims of Business.

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* * *

Before moving on. Features, Functions and Aims of Business can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

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The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

2.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

2.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER III · SOCIAL RESPONSIBILITY OF BUSINESS

3.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.t5 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

3.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r4 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.r5 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

3.p1 Pause by restating the key distinction in the question and checking it against the chapter's definition.

CHAPTER IV · WAYS TO OWN A BUSINESS, AND THE SOLE PROPRIETOR

4.t1 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t2 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t3 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t4 Define the relevant idea, apply it to the facts given, and state the conclusion briefly.

4.t5 Apply the stated figures to the relevant rule, keep the units consistent, and state the resulting figure or allocation.

4.r1 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r2 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

4.r3 The same principle applies: identify the relevant distinction, use the facts stated, and explain why the conclusion follows.

1.R5 a tea stall owner could earn more by selling only cold drinks, yet her neighbours rely on hot tea, so weigh profit against service and decide

PAUSE AND CHECK 1.P1 after the passage on needs and wants, and after the passage separating trade, commerce and industry

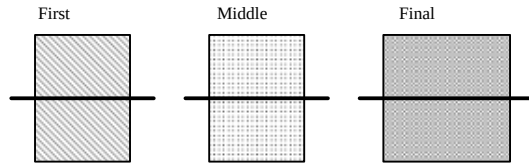
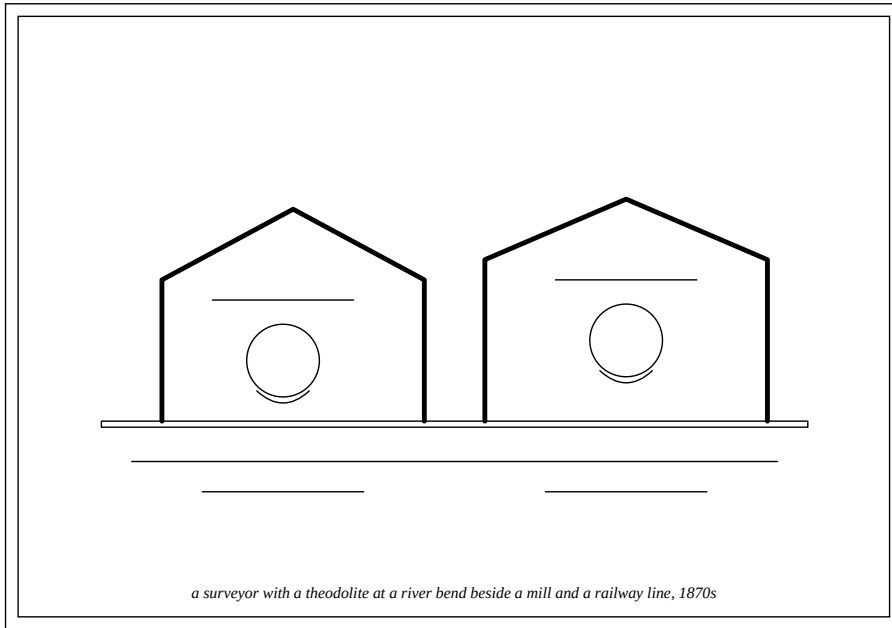


FIG. 1.1. the chain from maker to trader to customer, with the helping services (transport, storage, banking, insurance, advertising) drawn beside it

The chapter points to: Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production' — the resources that every business uses to make or sell; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — bodies that support trade and industry. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

Cross-references connect this chapter to related ideas elsewhere in the book.



CHAPTER II

Resources, Location and Environment

How does the business idea become a workable decision?



Teach the resources every business draws on, how a business chooses where to operate, and how the world around it shapes what it can do. The chapter builds the idea from ordinary experience to business practice.

Secondary market. the part of the share market where investors buy and sell shares that already exist. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Securities regulator. a public body that makes and enforces rules for the share market in order to protect investors. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter XII)

Service. useful work done for another person that leaves nothing physical behind, such as teaching, carrying or repairing. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter I)

Share. one equal part of a company's capital, which gives its holder a part of ownership. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VI)

Share market. the whole system of buying and selling shares, both when they are first issued and afterwards. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Share price index. a single number that shows how the prices of a chosen group of shares have moved together. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Shareholder. a person or organisation that owns one or more shares in a company. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VI)

Sleeping partner. a partner who puts in money and shares profit but takes no part in running the business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Social responsibility. the duty of a business to act in ways that benefit society as well as itself. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter III)

Sole proprietorship. a business owned, financed and run by one person who keeps all profit and bears all loss. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IV)

Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter III)

State enterprise. a business owned and run by the government, set up to serve the public or to earn money for the state. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VIII)

Stock exchange. an organised market with rules where approved members trade company shares and other securities. The term should be used only in this stated sense in the chapter.

meaning. This is the point to carry into the next example in The Factors of Production.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Factors of Production.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Factors of Production.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Factors of Production.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Factors of Production.

Case file, illustrative. Carried forward. Meghna and Sons opened on 4 January 2015 with start-up money of Tk 158,000 and monthly shop rent of Tk 9,000. Factors in the shop: land is the rented room (rent Tk 9,000 a month, advance paid to the landlord Tk 30,000); labour is Rafiq Uddin Mia and one helper, Mahbub, employed from 1 February 2015 at Tk 6,000 a month; capital is the Tk 158,000; Rafiq acts as entrepreneur. Location choice made in December 2014, three sites compared: Site A near a college: rent Tk 9,000, advance Tk 30,000, about 1,200 passers-by a day; Site B in a wholesale lane: rent Tk 14,000, advance Tk 56,000, about 2,000 passers-by a day; Site C in a residential lane: rent Tk 5,000, advance Tk 15,000, about 300 passers-by a day. Rent per 100 daily passers-by: Site A Tk 750, Site B Tk 700, Site C Tk 1,667 (to the nearest taka). Rafiq chose Site A because Site B's advance of Tk 56,000 was more than a third of his Tk 158,000 and its rent was Tk 5,000 higher. Environment events: on 2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

* * *

Before moving on. The Factors of Production can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

2.2 CHOOSING A LOCATION

Suppose you are looking at a business that must make a decision about choosing a location. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved,

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Choosing a Location begins with a concrete question before the rule is stated.

Need. something a person must have to live safely and in health, such as food, water, shelter and basic care. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter I)

Nominal partner. a person who lends their name to the business and takes no share, yet may still be answerable to outsiders. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Non-tariff barrier. a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter X)

Open membership. the rule that anyone who meets the society's basic conditions may join, with no unfair barrier. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VII)

Ordinary share. a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter IX)

Parent-country national. an employee of a multinational who comes from the country of its headquarters. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter XI)

Partner. one of the people who own a partnership and share in its profit, loss and duties. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Partnership. a business owned by two or more people who agree to run it together and share its profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Partnership at will. a partnership with no fixed end date, which any partner can end by giving notice. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Partnership deed. the written agreement that sets out how partners share capital, profit, work and decisions. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter V)

Patronage refund. a share of the surplus paid to members in proportion to the business they did with the society. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter VII)

Percentage. a part expressed out of one hundred. (Appendix A)

Plant. the factory, machinery and equipment that a business uses to make its goods. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (Chapter II)

* * *

Before moving on. Choosing a Location can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

2.3 THE BUSINESS ENVIRONMENT

Suppose you are looking at a business that must make a decision about the business environment. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Labour** means the physical and mental effort that people give to producing goods or services. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Location** means the place where a business carries out its work, chosen from the available sites. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Internal environment** means the parts of the environment that the business controls: owners, managers, employees, methods and resources. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Business Environment is what internal and external environment, and how a business and its surroundings affect each other changes in an ordinary business decision.

The answer begins with the definition: Internal and external environment, and how a business and its surroundings affect each other. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Business Environment.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Business Environment.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Business Environment.

The section recap gathers the main point before the next section.

The Business Environment begins with a concrete question before the rule is stated.

Labour. the physical and mental effort that people give to producing goods or services

The definition gives the boundary of labour before the example is applied.

Location. the place where a business carries out its work, chosen from the available sites

The definition gives the boundary of location before the example is applied.

Internal environment. the parts of the environment that the business controls: owners, managers, employees, methods and resources

The definition gives the boundary of internal environment before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

A small business example can make the boundary easier to recognise. (*Chapter I*)

Government company. a company, formed under company law, in which the government owns most or all of the shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VIII*)

Holding company. a company that controls others by owning enough of their shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Home country. the country where a multinational has its headquarters and where its parent company is based. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Host country. a country in which a multinational sets up a branch or subsidiary and operates. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Host-country national. an employee of a multinational who comes from the country where it is operating. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XI*)

Import. a good or service bought from a seller in another country. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Industry. the making or growing of goods, or the extraction of materials, by people who use skill, tools and effort. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Initial public offering. the first time a company invites the public to buy its shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter IX*)

Internal environment. the parts of the environment that the business controls: owners, managers, employees, methods and resources. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter II*)

Investor. a person or organisation that puts money into a business in the hope of getting more money back. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter III*)

Invisible trade. trade in services, such as shipping, insurance and tourism, that cannot be seen at a port. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Labour. the physical and mental effort that people give to producing goods or services. The term should be used only in this stated sense in the chapter.

2 January 2017 the education board changed the prescribed textbooks for three school classes, leaving 60 titles unsellable; average monthly sales were Tk 200,000 in 2017 and Tk 170,000 in 2018, a fall of 15% after an online bookstore began delivering in Dhaka; from March 2019 the helper delivered orders by bicycle for Tk 30 an order.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

2.T1 name the four factors and the reward each one earns

2.T2 list the forces that shape a location and say which matter most for a shop and which for a factory

2.T3 separate a business's internal from its external environment, with an example of each

2.T4 explain how a business can respond to a change it cannot control

2.T5 a bakery can rent a roadside plot at Tk 18,000 a month with 2,400 daily passers-by, or an inner lane plot at Tk 7,000 with 500, and has Tk 120,000 to start, so compare rent per 100 passers-by and decide

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

Tata Iron and Steel Company, 1907: the search for a site with ore, coal and water that ended at Sakchi, later Jamshedpur, India. Search hint: Tata Steel Sakchi site selection 1907 Jamshedpur.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

2.R1 name the four factors and the reward each one earns

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

A small business example can make the boundary easier to recognise. (*Chapter II*)

Cartel. a loose agreement among businesses that stay separate but fix prices or output together. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Certificate of commencement. the official paper that allows a public company to start business after it has raised enough money. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Certificate of incorporation. the official paper that proves the company legally exists as a separate person. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

Chamber of commerce. an association of local businesses that speaks for them and helps them trade. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter XII*)

Charter party. the contract by which the owner of a ship hires the whole ship, or part of it, to another business. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Commerce. all the activities that help goods move from maker to user, including trade and the services that support it. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter I*)

Company. a business that the law treats as a separate person, owned by shareholders through shares. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VI*)

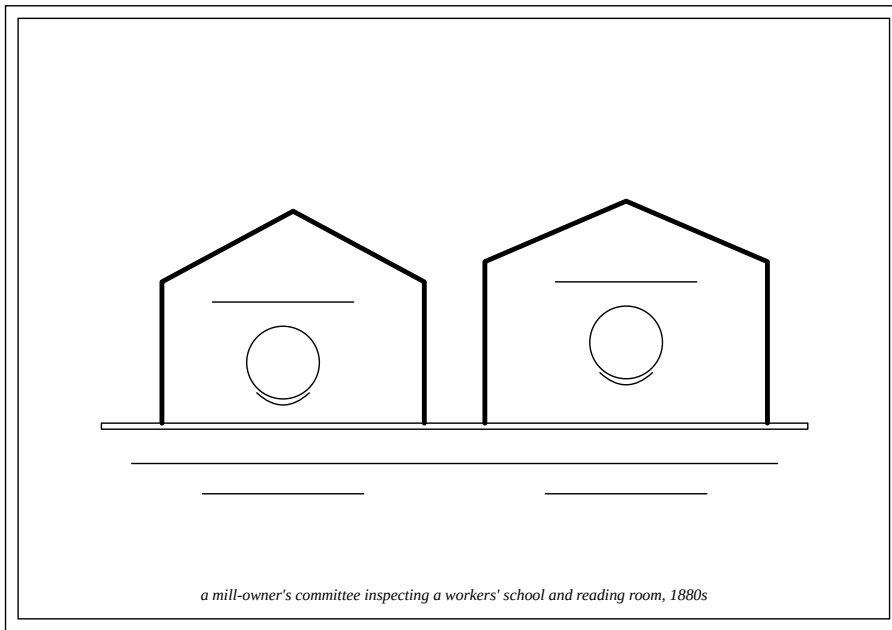
Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)

Consumer cooperative. a society that buys goods in bulk and sells them to members at fair prices. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Cooperative society. a business owned and run by its members, who join to meet a shared need rather than to earn the largest profit. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Credit cooperative. a society that collects savings from members and lends to them on fair terms. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter VII*)

Customs duty. a tax charged on goods when they cross a national border. The term should be used only in this stated sense in the chapter. A small business example can make the boundary easier to recognise. (*Chapter X*)



CHAPTER III

Social Responsibility of Business

How does the business idea become a workable decision?



Explain why a business owes duties beyond profit, to whom it owes them, and how a reader can recognise a responsible business. The chapter builds the idea from ordinary experience to business practice.

the rule. This is the point to carry into the next example in Meaning and Importance of Responsibility.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning and Importance of Responsibility.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning and Importance of Responsibility.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

* * *

Before moving on. Meaning and Importance of Responsibility can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

3.2 RESPONSIBILITY TO SOCIETY, SUPPLIERS AND INVESTORS

Suppose you are looking at a business that must make a decision about responsibility to society, suppliers and investors. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Stakeholder** means any person or group affected by a business or able to affect it, such as customers or neighbours. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Business ethics** means the standards of right and wrong that guide how a business treats people and makes decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Responsibility to Society, Suppliers and Investors is what duties to society, suppliers and investors changes in an ordinary business decision.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Responsibility to Society, Suppliers and Investors begins with a concrete question before the rule is stated.

Stakeholder. any person or group affected by a business or able to affect it, such as customers or neighbours

The definition gives the boundary of stakeholder before the example is applied.

Business ethics. the standards of right and wrong that guide how a business treats people and makes decisions

The definition gives the boundary of business ethics before the example is applied.

The paragraph connects the idea to a practical business question.

A.1 A1.1 | PERCENTAGES AND PERCENTAGE CHANGE

The term **Percentage** means a part expressed out of one hundred. If 25 of 100 books are sold, the percentage sold is 25%.

Percentage change is found by taking the change, dividing by the original amount, and multiplying by 100. If sales rise from 200 to 250, the change is 50 and the percentage change is $50 \div 200 \times 100 = 25\%$.

A.2 A1.2 | RATIOS AND AVERAGES

The term **Ratio** means a comparison of two quantities using division. If a business has 4 workers and 2 supervisors, the ratio of workers to supervisors is 4 : 2, which can be simplified to 2 : 1.

The term **Average** means a value found by combining quantities and dividing by their number. For 10, 20 and 30, the average is $(10 + 20 + 30) \div 3 = 20$.

A.3 A1.3 | REARRANGING AN EQUATION AND ROUNDING

If sales = price $\times$ quantity, then quantity = sales $\div$ price. For sales of Tk 600 and a price of Tk 20, quantity = $600 \div 20 = 30$.

If a calculation gives 1,666.666..., rounded to the nearest taka it becomes Tk 1,667. Keep extra figures during intermediate steps when rounding early would change the final result.

A.4 A1.4 | READING A GRAPH

The horizontal axis normally shows the independent quantity and the vertical axis shows the quantity being measured. A point on the graph represents one pair of values. A rising line means the vertical measure increases as the horizontal measure increases.

Check the units on both axes, locate the relevant point, and compare points using the same scale. If the graph begins above zero, do not treat the visible height as the amount itself without reading the axis labels.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

When using any calculation in the book, write the given figures first, identify what is required, choose the operation, show each arithmetic step, state the answer with units, and make a quick check. These habits reduce errors caused by mixed units, wrong bases for percentage change, reversed ratios, early rounding, or misread graph scales.

Percentages express a part in relation to one hundred.

Percentage. a part expressed out of one hundred

Percentage change compares a new amount with an earlier amount.

Ratios compare quantities by showing their relative sizes.

Ratio. a comparison of two quantities using division

An average gives one representative value for a group of quantities.

Average. a value found by combining quantities and dividing by their number

An equation can be rearranged by performing the same operation on both sides.

Rounding should be done only at the requested level of accuracy.

A graph shows a relationship visually, so first identify its axes and units.

A graph must be read from its scale, labels and plotted values rather than from appearance alone.

This is a reference check for applying the numerical rule safely.

This is a reference check for applying the numerical rule safely.

The word **Supplier** means a person or business that sells the goods, materials or services that another business needs. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Recognising a Responsible Organisation is what signs that a business is acting responsibly changes in an ordinary business decision.

The answer begins with the definition: Signs that a business is acting responsibly. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Recognising a Responsible Organisation.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Recognising a Responsible Organisation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Recognising a Responsible Organisation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Recognising a Responsible Organisation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Recognising a Responsible Organisation.

Case file, illustrative. Carried forward. In 2019 Meghna and Sons had average monthly sales of Tk 190,000, so annual sales were Tk 2,280,000 (190,000 x 12). The helper, Mahbub, earned Tk 8,000 a month and received a festival bonus of one month's wage at each of two festivals, Tk 16,000 in the year (8,000 x 2). The shop paid its main supplier, a publisher called Alo Prokashoni (illustrative), within the agreed 45 days; the invoice of Tk 84,000 dated 1 June 2019 was paid on 15 July 2019, on day 44. On 1 March 2019 Rafiq Uddin Mia borrowed Tk 60,000 from a bank at 10% a year, so yearly interest was Tk 6,000. On 10 December 2019 the shop gave 1% of the year's sales, Tk 22,800 (2,280,000 x 1/100), to the library of a primary school. The shop has no outside investor; the bank is its only lender.

Supplier. a person or business that sells the goods, materials or services that another business needs

The definition gives the boundary of supplier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 3.T1 say in your own words what social responsibility means and give two reasons it matters
- 3.T2 name five stakeholders of a restaurant and the duty owed to each
- 3.T3 explain what a business owes a supplier and what it owes an investor
- 3.T4 list three signs of a responsible business
- 3.T5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The collapse of the Rana Plaza building at Savar, Bangladesh, on 24 April 2013, and the building and fire safety agreement signed by buyers and unions in May 2013. Search hint: Rana Plaza collapse 2013 Accord on Fire and Building Safety.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

REVIEW QUESTIONS

- 3.R1 say in your own words what social responsibility means and give two reasons it matters
- 3.R2 name five stakeholders of a restaurant and the duty owed to each
- 3.R3 explain what a business owes a supplier and what it owes an investor
- 3.R4 list three signs of a responsible business
- 3.R5 a printer offers books at 12% less, but its workers have no safety equipment, so weigh cost against duty and give a decision with reasons
- PAUSE AND CHECK 3.P1** after the definition of stakeholder, and after the passage on duties to suppliers

The review questions return to the same ideas in a direct form.

THINK IT THROUGH

- 12.T1 say what a chamber of commerce does for its members
- 12.T2 describe the purpose of an export processing zone
- 12.T3 compare a cartel, a holding company and a merger
- 12.T4 tell horizontal from vertical integration with an example of each
- 12.T5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The Standard Oil Trust of 1882 in the United States, the Sherman Antitrust Act of 1890, and the order of 1911 that broke the company into parts. Search hint: Standard Oil trust 1882 Sherman Act 1890 breakup 1911.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 12.R1 say what a chamber of commerce does for its members
- 12.R2 describe the purpose of an export processing zone
- 12.R3 compare a cartel, a holding company and a merger
- 12.R4 tell horizontal from vertical integration with an example of each
- 12.R5 three bakeries each earning Tk 60,000 a month consider joining, so list two opportunities and two threats and decide whether to merge or only cooperate
- PAUSE AND CHECK 12.P1** after the securities regulator, and after the forms of combination

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

This is the point to carry into the next example in Forms of Business Combination.

* * *

Before moving on. Forms of Business Combination can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

12.4 OPPORTUNITIES AND THREATS

Suppose you are looking at a business that must make a decision about opportunities and threats. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Business combination** means two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Horizontal integration** means joining businesses that sell the same kind of good or service at the same stage of the chain. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Opportunities and Threats is what why businesses combine, and the opportunities and threats that follow changes in an ordinary business decision.

The answer begins with the definition: Why businesses combine, and the opportunities and threats that follow. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Opportunities and Threats.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Opportunities and Threats.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Opportunities and Threats.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters,

The section recap gathers the main point before the next section.

Opportunities and Threats begins with a concrete question before the rule is stated.

Business combination. two or more businesses joining together, by agreement or by one taking over another, to act as a larger unit

The definition gives the boundary of business combination before the example is applied.

Horizontal integration. joining businesses that sell the same kind of good or service at the same stage of the chain

The definition gives the boundary of horizontal integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

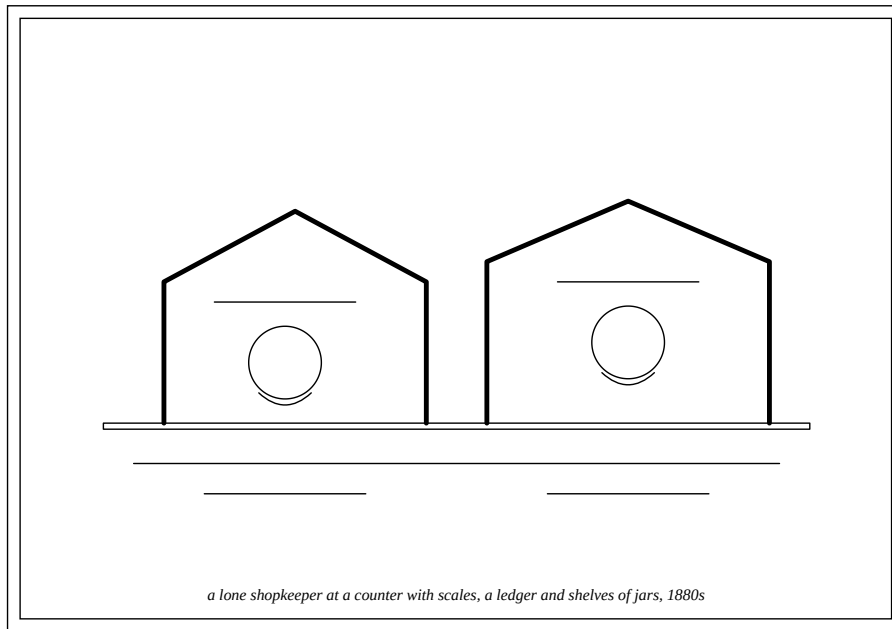
The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.



CHAPTER IV

Ways to Own a Business, and the Sole Proprietor

How does the business idea become a workable decision?



Show why the form of ownership matters, teach limited and unlimited liability, and explain the sole proprietorship with its strengths and limits. The chapter builds the idea from ordinary experience to business practice.

the rule. This is the point to carry into the next example in Why the Form of Ownership Matters.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why the Form of Ownership Matters.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why the Form of Ownership Matters.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020. Position on 31 December 2020: assets Tk 380,000; debts Tk 430,000 (owed to suppliers Tk 370,000 and to the bank Tk 60,000); debts exceeded assets by Tk 50,000 (430,000 - 380,000). On 15 January 2021 Rafiq paid the Tk 50,000 shortfall from his personal savings. The shop's trade licence (illustrative number TL-2015-0417) was issued on 20 December 2014 and has been renewed each year.

* * *

Before moving on. Why the Form of Ownership Matters can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

4.2 SOLE PROPRIETORSHIP

Suppose you are looking at a business that must make a decision about sole proprietorship. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Unlimited liability** means the owner must pay all the business's debts, using personal property if the business cannot. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Sole proprietorship** means a business owned, financed and run by one person who keeps all profit and bears all loss. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Sole Proprietorship is what sole proprietorship: meaning, features, strengths, limits and suitable fields changes in an ordinary business decision.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Sole Proprietorship begins with a concrete question before the rule is stated.

Unlimited liability. the owner must pay all the business's debts, using personal property if the business cannot

The definition gives the boundary of unlimited liability before the example is applied.

Sole proprietorship. a business owned, financed and run by one person who keeps all profit and bears all loss

The definition gives the boundary of sole proprietorship before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The useful question in Zones, Export Bodies and Others is what export processing zones and the authority that runs them changes in an ordinary business decision.

The answer begins with the definition: Export processing zones and the authority that runs them. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Zones, Export Bodies and Others is what the export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role) changes in an ordinary business decision.

The answer begins with the definition: The export promotion body, the trade corporation and other support bodies (the writer confirms each body's full name and role). This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Zones, Export Bodies and Others.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Zones, Export Bodies and Others.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Zones, Export Bodies and Others.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Zones, Export Bodies and Others.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Zones, Export Bodies and Others.

* * *

Before moving on. Zones, Export Bodies and Others can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

The word **Limited liability** means the owner can lose only the money put into the business, and personal property stays safe. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Trade licence** means official permission, given by a local authority, to carry on a particular business in a particular place. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Comparing the Forms is what a first comparison of the forms on owner, money, risk and control changes in an ordinary business decision.

The answer begins with the definition: A first comparison of the forms on owner, money, risk and control. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Comparing the Forms.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Comparing the Forms.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Comparing the Forms.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Comparing the Forms.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Comparing the Forms.

Case file, illustrative. Carried forward. Meghna and Sons is a sole proprietorship owned by Rafiq Uddin Mia, with a bank loan of Tk 60,000 taken on 1 March 2019. Position on 31 December 2019: assets Tk 400,000 (stock Tk 310,000 and other assets Tk 90,000); debts Tk 180,000 (owed to suppliers Tk 120,000 and to the bank Tk 60,000); the owner's own stake was therefore Tk 220,000 (400,000 - 180,000). The shop was closed for nine weeks in 2020.

Limited liability. the owner can lose only the money put into the business, and personal property stays safe

The definition gives the boundary of limited liability before the example is applied.

Trade licence. official permission, given by a local authority, to carry on a particular business in a particular place

The definition gives the boundary of trade licence before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

Earlier ideas needed for this chapter are named before they are used.

Institutions That Promote Business begins with a concrete question before the rule is stated.

Securities regulator. a public body that makes and enforces rules for the share market in order to protect investors

The definition gives the boundary of securities regulator before the example is applied.

Cartel. a loose agreement among businesses that stay separate but fix prices or output together

The definition gives the boundary of cartel before the example is applied.

Vertical integration. joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop

The definition gives the boundary of vertical integration before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 9, 'The Share Market', section 9.3 'Stock Exchanges and the Dhaka Stock Exchange'

12.1 INSTITUTIONS THAT PROMOTE BUSINESS

Suppose you are looking at a business that must make a decision about institutions that promote business. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Securities regulator** means a public body that makes and enforces rules for the share market in order to protect investors. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Cartel** means a loose agreement among businesses that stay separate but fix prices or output together. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Vertical integration** means joining businesses at different stages of the chain, such as a printer, a wholesaler and a shop. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Institutions That Promote Business is what the role of bodies that promote and regulate business, including the securities regulator changes in an ordinary business decision.

The answer begins with the definition: The role of bodies that promote and regulate business, including the securities regulator. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Institutions That Promote Business is what chambers of commerce and the national federation of chambers changes in an ordinary business decision.

The answer begins with the definition: Chambers of commerce and the national federation of chambers. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Institutions That Promote Business.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 4.T1 define liability and say how unlimited differs from limited liability, using one sum of your own
- 4.T2 list four features of a sole proprietorship
- 4.T3 give two fields where it suits and say why
- 4.T4 explain why it survives beside large businesses
- 4.T5 a tailor's assets are Tk 90,000 and her debts Tk 135,000, so say who must pay the gap under each kind of liability and what she might do

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The failure of the City of Glasgow Bank in 1878, when shareholders with unlimited liability lost their homes and savings. Search hint: City of Glasgow Bank 1878 collapse unlimited liability shareholders.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 4.R1 define liability and say how unlimited differs from limited liability, using one sum of your own
- 4.R2 list four features of a sole proprietorship
- 4.R3 give two fields where it suits and say why
- 4.R4 explain why it survives beside large businesses
- 4.R5 a tailor's assets are Tk 90,000 and her debts Tk 135,000, so say who must pay the gap under each kind of liability and what she might do

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

The review questions return to the same ideas in a direct form.

setting. It should not be treated as evidence for facts that are not stated in the chapter.

REVIEW QUESTIONS

- 11.R1 define multinational corporation and name three reasons a firm becomes one
- 11.R2 tell home country from host country with an example
- 11.R3 explain the three groups of staff and why a multinational mixes them
- 11.R4 list two gains and two problems for a host country
- 11.R5 a foreign factory will employ 400 local workers and train them, but may send most of its profit abroad and push local makers out, so weigh both sides and say what rules a government might set
- PAUSE AND CHECK 11.P1 after the three groups of staff, and after the gains and problems

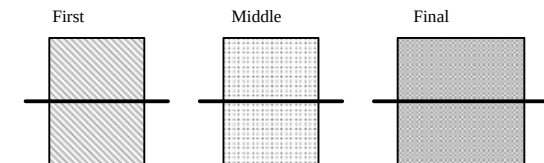
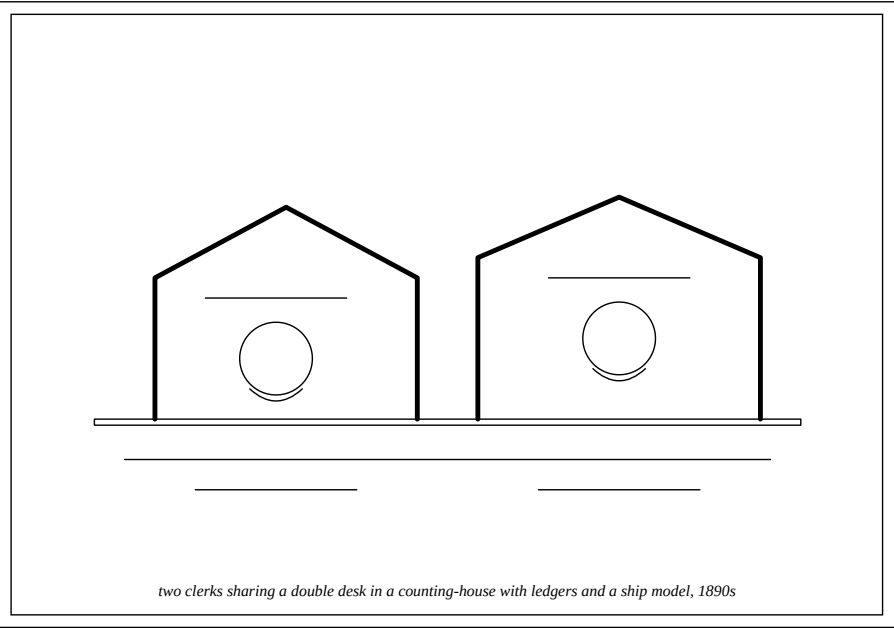


FIG. 11.1. a parent company in its home country with a subsidiary in a host country, and three groups of staff labelled by their country of origin

The chapter points to: Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters' — the gains from trade that multinationals extend; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — zones that attract overseas investors. These references are reminders of where a related idea is developed; they do not introduce a new definition here.

The review questions return to the same ideas in a direct form.

Cross-references connect this chapter to related ideas elsewhere in the book.



two clerks sharing a double desk in a counting-house with ledgers and a ship model, 1890s

CHAPTER V

Partnership

How does the business idea become a workable decision?



Teach what a partnership is, the kinds of partnership and partner, the duties between partners, and how a partnership ends. The chapter builds the idea from ordinary experience to business practice.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Why Multinationals Matter, and Their Problems.

Case file, illustrative. Case in this chapter is an illustrative multinational. Northwind Stationery plc (fictional) is headquartered in the United Kingdom and began operating through a subsidiary in Dhaka, Northwind Stationery Bangladesh Limited, on 5 May 2024. The parent invested US\$ 1,000,000, Tk 120,000,000 at the illustration's assumed rate of Tk 120 a dollar (1,000,000 x 120). The subsidiary has 90 staff: 3 parent-country nationals from the United Kingdom, 2 third-country nationals from India, and 85 host-country nationals from Bangladesh (3 + 2 + 85 = 90). Host-country nationals are 94.4% of staff (85 / 90). From 1 September 2025 Meghna and Sons Limited has sold Northwind notebooks, and its purchases from the subsidiary between 1 September and 31 December 2025 were Tk 180,000.

* * *

Before moving on. Why Multinationals Matter, and Their Problems can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

This is the point to carry into the next example in The Idea and Types of Partnership.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Idea and Types of Partnership.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Idea and Types of Partnership.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Idea and Types of Partnership.

Case file, illustrative. Carried forward. In 2020 Rafiq Uddin Mia met a Tk 50,000 shortfall from savings (Chapter 4). On 1 July 2021 Rafiq and his son Imran formed a partnership under a deed of that date. Capital: Rafiq Tk 400,000, Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 (360,000 x 2/3) and Imran Tk 120,000 (360,000 x 1/3). On 1 January 2023 Rafiq's second son Soheli joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 (480,000 x 2/4), Imran Tk 120,000 (480,000 x 1/4), Soheli Tk 120,000 (480,000 x 1/4). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Soheli Tk 300,000.

* * *

Before moving on. The Idea and Types of Partnership can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

5.2 TYPES OF PARTNERS AND THEIR DUTIES

Suppose you are looking at a business that must make a decision about types of partners and their duties. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Partner** means one of the people who own a partnership and share in its profit, loss and duties. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Types of Partners and Their Duties begins with a concrete question before the rule is stated.

Partner. one of the people who own a partnership and share in its profit, loss and duties

The definition gives the boundary of partner before the example is applied.

Parent-country national. an employee of a multinational who comes from the country of its headquarters

The definition gives the boundary of parent-country national before the example is applied.

Technology transfer. the passing of knowledge, machines and methods from one country or firm to another

The definition gives the boundary of technology transfer before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

The word **Parent-country national** means an employee of a multinational who comes from the country of its headquarters. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Technology transfer** means the passing of knowledge, machines and methods from one country or firm to another. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in People in a Multinational is what parent-country, host-country and third-country nationals in a multinational's staff changes in an ordinary business decision.

The answer begins with the definition: Parent-country, host-country and third-country nationals in a multinational's staff. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in People in a Multinational.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in People in a Multinational.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in People in a Multinational.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in People in a Multinational.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in People in a Multinational.

* * *

Before moving on. People in a Multinational can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

This is the point to carry into the next example in Types of Partners and Their Duties.

* * *

Before moving on. Types of Partners and Their Duties can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

5.3 ADVANTAGES, DISADVANTAGES AND DISSOLUTION

Suppose you are looking at a business that must make a decision about advantages, disadvantages and dissolution. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Partnership deed** means the written agreement that sets out how partners share capital, profit, work and decisions. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Sleeping partner** means a partner who puts in money and shares profit but takes no part in running the business. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Advantages, Disadvantages and Dissolution is what advantages and disadvantages of partnership, and how it differs from a sole proprietorship, ending with dissolution changes in an ordinary business decision.

The answer begins with the definition: Advantages and disadvantages of partnership, and how it differs from a sole proprietorship, ending with dissolution. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Advantages, Disadvantages and Dissolution.

The section recap gathers the main point before the next section.

Advantages, Disadvantages and Dissolution begins with a concrete question before the rule is stated.

Partnership deed. the written agreement that sets out how partners share capital, profit, work and decisions

The definition gives the boundary of partnership deed before the example is applied.

Sleeping partner. a partner who puts in money and shares profit but takes no part in running the business

The definition gives the boundary of sleeping partner before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Earlier ideas needed for this chapter are named before they are used.

What a Multinational Corporation Is begins with a concrete question before the rule is stated.

Multinational corporation. a company that owns and runs business operations in two or more countries

The definition gives the boundary of multinational corporation before the example is applied.

Subsidiary. a company that is owned or controlled by another, larger company called the parent

The definition gives the boundary of subsidiary before the example is applied.

Third-country national. an employee of a multinational who comes from neither its home nor its host country

The definition gives the boundary of third-country national before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares'; Chapter 10, 'Foreign Trade: Measuring It and Doing It', section 10.1 'Why Nations Trade, and Why It Matters'

11.1 WHAT A MULTINATIONAL CORPORATION IS

Suppose you are looking at a business that must make a decision about what a multinational corporation is. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Multinational corporation** means a company that owns and runs business operations in two or more countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Subsidiary** means a company that is owned or controlled by another, larger company called the parent. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Third-country national** means an employee of a multinational who comes from neither its home nor its host country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in What a Multinational Corporation Is is what the multinational corporation and the reasons firms set up in other countries changes in an ordinary business decision.

The answer begins with the definition: The multinational corporation and the reasons firms set up in other countries. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in What a Multinational Corporation Is is what home country, host country and subsidiary changes in an ordinary business decision.

The answer begins with the definition: Home country, host country and subsidiary. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in What a Multinational Corporation Is.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This

Imran Tk 200,000, total Tk 600,000. Profit and loss are shared 2 : 1, the ratio of capital (400,000 : 200,000); both partners work full time. Profit for the year ended 30 June 2022 was Tk 360,000: Rafiq Tk 240,000 ($360,000 \times \frac{2}{3}$) and Imran Tk 120,000 ($360,000 \times \frac{1}{3}$). On 1 January 2023 Rafiq's second son Sohel joined as a sleeping partner with capital of Tk 200,000, taking total capital to Tk 800,000; profit is now shared 2 : 1 : 1. Profit for the year ended 31 December 2023 was Tk 480,000: Rafiq Tk 240,000 ($480,000 \times \frac{2}{4}$), Imran Tk 120,000 ($480,000 \times \frac{1}{4}$), Sohel Tk 120,000 ($480,000 \times \frac{1}{4}$). On 31 March 2024 the partners' capital, including profit left in the business, stood at Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

5.T1 define partnership and name the base it rests on

5.T2 compare active, sleeping and nominal partners

5.T3 state three duties partners owe each other

5.T4 list the ways a partnership can end

5.T5 three partners put in Tk 300,000, Tk 200,000 and Tk 100,000 and earn Tk 180,000, so share the profit by capital and say what changes if the deed fixes equal shares

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

IN HISTORY

The partnership of Michael Marks and Thomas Spencer, formed in 1894 in Leeds, England, which grew into the retailer Marks and Spencer. Search hint: Marks and Spencer 1894 partnership Thomas Spencer.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

Most errors arise when a related idea is treated as if it were identical.

The historical case shows how the chapter's ideas appeared in a documented setting.

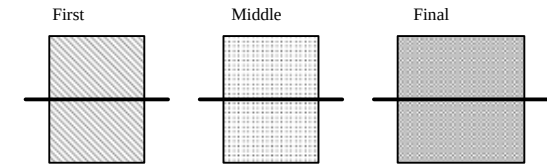


FIG. 10.1. the steps of an export in order, from enquiry and order through letter of credit and shipment to payment, drawn as numbered boxes

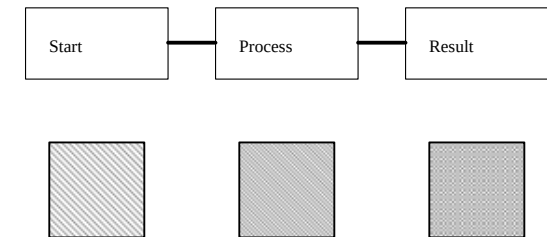
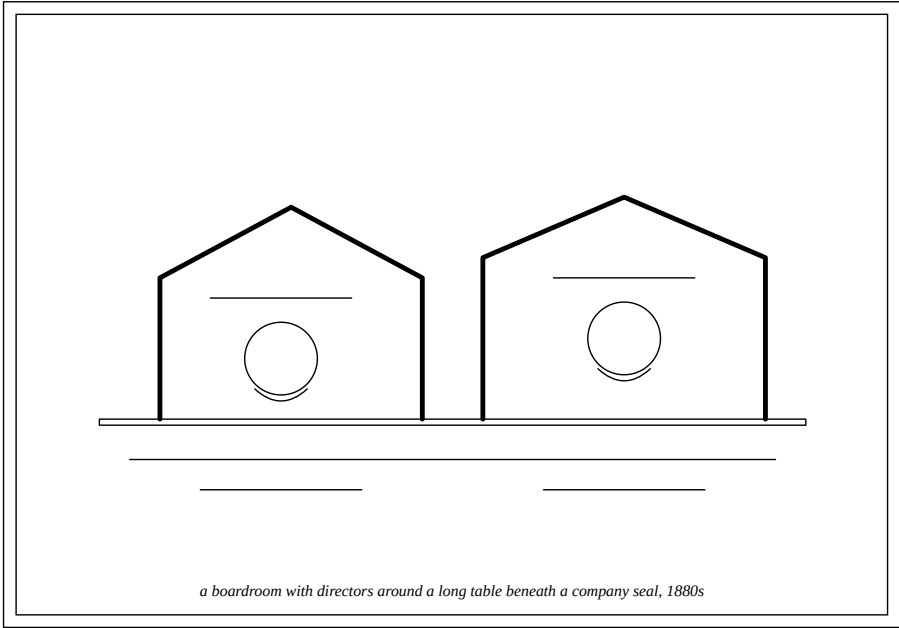


FIG. 10.2. two hatched columns, exports and imports, with the gap between them labelled as the balance of trade

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 11, 'Multinational Corporations', section 11.1 'What a Multinational Corporation Is' — firms that operate in several countries; Chapter 12, 'Institutions and Business Combination', section 12.2 'Zones, Export Bodies and Others' — bodies that help exporters. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER VI

Joint Stock Company

How does the business idea become a workable decision?



Teach the company as a separate legal person owned through shares, how private and public companies differ, how one is formed, and its merits and demerits. The chapter builds the idea from ordinary experience to business practice.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

* * *

Before moving on. Barriers to Export Trade can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons Limited is a company (since 1 April 2024). The figures here use an assumed rate of Tk 120 for one US dollar, chosen only for this illustration. Import: on 3 March 2025 the company opened a letter of credit for 1,500 English-language books from a publisher in the United Kingdom, invoice value US\$ 6,000 (Tk 720,000: 6,000 x 120). The goods were shipped on 28 March 2025 under a bill of lading of that date and reached Chattogram on 29 April 2025. Customs duty and taxes were Tk 108,000 (15% of 720,000) and the bank's charges on the letter of credit were Tk 7,200 (1% of 720,000). Landed cost Tk 835,200 (720,000 + 108,000 + 7,200), which is Tk 556.80 a book (835,200 / 1,500). Export: in 2025 the company also sold 200 Bangla books to a bookseller in London, invoice value US\$ 2,000 (Tk 240,000: 2,000 x 120). Balance of trade for the company's goods: 240,000 - 720,000 = minus Tk 480,000, a deficit. Invisible trade: marine insurance paid to a foreign insurer US\$ 150 (Tk 18,000: 150 x 120), so goods and services together show a deficit of Tk 498,000 (480,000 + 18,000).

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

- 10.T1 explain comparative advantage with a pair of goods of your own
- 10.T2 separate visible from invisible trade with two examples of each
- 10.T3 list the steps of an export in order
- 10.T4 name five documents used in foreign trade and say what each does
- 10.T5 a country sells goods worth 48 billion and buys goods worth 61 billion, so find the balance of trade and say if it is a surplus or deficit

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Company and Its Shares.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Company and Its Shares.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Company and Its Shares.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Company and Its Shares.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. The Company and Its Shares can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.2 PRIVATE AND PUBLIC COMPANIES

Suppose you are looking at a business that must make a decision about private and public companies. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Share** means one equal part of a company's capital, which gives its holder a part of ownership. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Private and Public Companies begins with a concrete question before the rule is stated.

Share. one equal part of a company's capital, which gives its holder a part of ownership
The definition gives the boundary of share before the example is applied.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Barriers to Export Trade begins with a concrete question before the rule is stated.

Comparative advantage. a country's ability to make a good at a lower sacrifice of other goods than another country can

The definition gives the boundary of comparative advantage before the example is applied.

Balance of payments. the full record of money flowing into and out of a country over a period for all kinds of dealings

The definition gives the boundary of balance of payments before the example is applied.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Export and Import Procedure and Documents.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Export and Import Procedure and Documents.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Export and Import Procedure and Documents.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Export and Import Procedure and Documents.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Export and Import Procedure and Documents.

* * *

Before moving on. Export and Import Procedure and Documents can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

10.4 BARRIERS TO EXPORT TRADE

Suppose you are looking at a business that must make a decision about barriers to export trade. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Comparative advantage** means a country's ability to make a good at a lower sacrifice of other goods than another country can. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Balance of payments** means the full record of money flowing into and out of a country over a period for all kinds of dealings. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

Before moving on. Private and Public Companies can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

6.3 FORMING A COMPANY AND ISSUING A PROSPECTUS

Suppose you are looking at a business that must make a decision about forming a company and issuing a prospectus. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Shareholder** means a person or organisation that owns one or more shares in a company. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public company** means a company that may invite the public to buy its shares and whose shares can be freely traded. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Certificate of incorporation** means the official paper that proves the company legally exists as a separate person. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forming a Company and Issuing a Prospectus is what steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade changes in an ordinary business decision.

The answer begins with the definition: Steps of formation: the memorandum, the articles, incorporation, the prospectus and starting trade. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forming a Company and Issuing a Prospectus.

The section recap gathers the main point before the next section.

Forming a Company and Issuing a Prospectus begins with a concrete question before the rule is stated.

Shareholder. a person or organisation that owns one or more shares in a company

The definition gives the boundary of shareholder before the example is applied.

Public company. a company that may invite the public to buy its shares and whose shares can be freely traded

The definition gives the boundary of public company before the example is applied.

Certificate of incorporation. the official paper that proves the company legally exists as a separate person

The definition gives the boundary of certificate of incorporation before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Export. a good or service sold to a buyer in another country

The definition gives the boundary of export before the example is applied.

Invisible trade. trade in services, such as shipping, insurance and tourism, that cannot be seen at a port

The definition gives the boundary of invisible trade before the example is applied.

Bill of lading. a receipt and contract issued by a shipping company for goods it has accepted for carriage

The definition gives the boundary of bill of lading before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The word **Export** means a good or service sold to a buyer in another country. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Invisible trade** means trade in services, such as shipping, insurance and tourism, that cannot be seen at a port. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Bill of lading** means a receipt and contract issued by a shipping company for goods it has accepted for carriage. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Measuring Trade Between Nations is what visible and invisible trade, the balance of trade and the balance of payments changes in an ordinary business decision.

The answer begins with the definition: Visible and invisible trade, the balance of trade and the balance of payments. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Measuring Trade Between Nations is what reading a surplus or a deficit changes in an ordinary business decision.

The answer begins with the definition: Reading a surplus or a deficit. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Measuring Trade Between Nations.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Measuring Trade Between Nations.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Measuring Trade Between Nations.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Measuring Trade Between Nations.

business meaning. This is the point to carry into the next example in Merits and Demerits.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Merits and Demerits.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Merits and Demerits.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Merits and Demerits.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Merits and Demerits.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year ended 31 March 2025 profit after all costs was Tk 540,000; the board proposed a dividend of Tk 2 a share, Tk 240,000 in all (120,000 x 2): Rafiq Tk 120,000, Imran Tk 60,000, Sohel Tk 60,000; the remaining Tk 300,000 was kept in the business. As a private company the business issued no prospectus.

* * *

Before moving on. Merits and Demerits can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. On 31 March 2024 the partners' capital was Tk 1,200,000: Rafiq Tk 600,000, Imran Tk 300,000, Sohel Tk 300,000 (Chapter 5). On 1 April 2024 the partners ended the partnership and formed Meghna and Sons Limited, a private company. Authorised capital Tk 2,000,000, divided into 200,000 shares of Tk 10 each. Shares issued 120,000 (120,000 x 10 = Tk 1,200,000): Rafiq 60,000, Imran 30,000, Sohel 30,000. Unissued shares 80,000 (Tk 800,000). Certificate of incorporation dated 15 April 2024. Directors: Rafiq (chairman), Imran (managing director), Sohel. For the year

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

Earlier ideas needed for this chapter are named before they are used.

Why Nations Trade, and Why It Matters begins with a concrete question before the rule is stated.

Foreign trade. the buying and selling of goods and services between people or businesses in different countries

The definition gives the boundary of foreign trade before the example is applied.

Visible trade. trade in goods that can be seen and counted at a port, such as books, cloth and machines

The definition gives the boundary of visible trade before the example is applied.

Letter of credit. a bank's written promise to pay the exporter once agreed documents are shown

The definition gives the boundary of letter of credit before the example is applied.

Non-tariff barrier. a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test

The definition gives the boundary of non-tariff barrier before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

You will need: Chapter 1, 'What Business Is, Does and Aims For', section 1.3 'Trade, Commerce and Industry'; Chapter 2, 'Resources, Location and Environment', section 2.1 'The Factors of Production'

10.1 WHY NATIONS TRADE, AND WHY IT MATTERS

Suppose you are looking at a business that must make a decision about why nations trade, and why it matters. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Foreign trade** means the buying and selling of goods and services between people or businesses in different countries. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Visible trade** means trade in goods that can be seen and counted at a port, such as books, cloth and machines. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Letter of credit** means a bank's written promise to pay the exporter once agreed documents are shown. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Non-tariff barrier** means a rule or practice other than a tax that makes it harder to trade, such as a quota or a quality test. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Why Nations Trade, and Why It Matters is what why nations trade: differences in resources and comparative advantage changes in an ordinary business decision.

The answer begins with the definition: Why nations trade: differences in resources and comparative advantage. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Why Nations Trade, and Why It Matters is what the importance of foreign trade to a country such as Bangladesh changes in an ordinary business decision.

The answer begins with the definition: The importance of foreign trade to a country such as Bangladesh. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a

SOURCES

REVIEW QUESTIONS

- 6.R1** define company and explain why it counts as a separate person
- 6.R2** compare private and public companies on members, shares and the public offer
- 6.R3** list the documents needed to form a company and say what each contains
- 6.R4** state two merits and two demerits of the form
- 6.R5** a company has 50,000 shares of Tk 10, earns Tk 80,000 profit and keeps half, so work out the dividend per share and the sum each holder of 5,000 shares receives

PAUSE AND CHECK 6.P1 after limited liability for shareholders, and after the memorandum and the articles

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

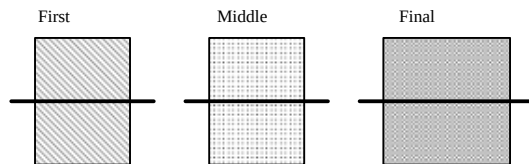


FIG. 6.1. the chain from shareholders to board of directors to managers, with arrows showing who elects and who reports

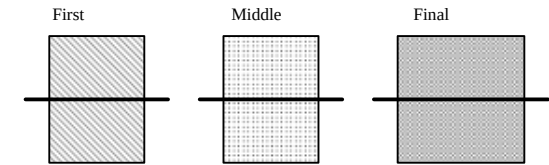
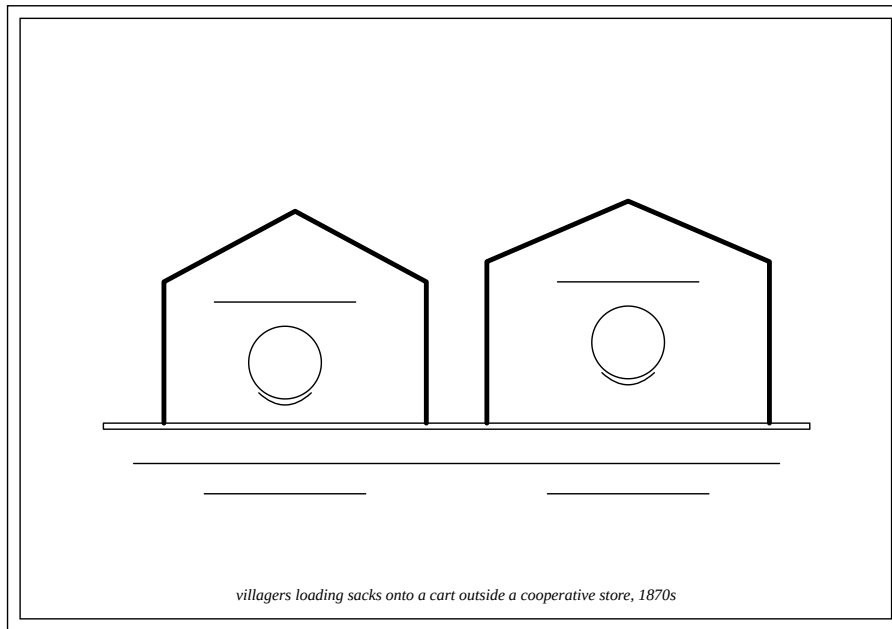


FIG. 9.1. companies selling shares to investors in the primary market (left), and investors trading among themselves through brokers on the stock exchange in the secondary market (right)

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.3 'Forming a Company and Issuing a Prospectus' — the prospectus a public company issues; Chapter 12, 'Institutions and Business Combination', section 12.1 'Institutions That Promote Business' — the regulator of the share market. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



CHAPTER VII

Cooperative Societies

How does the business idea become a workable decision?



Teach what a cooperative society is, the principles it follows, the kinds found in Bangladesh, how it operates, and where it helps and falls short. The chapter builds the idea from ordinary experience to business practice.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

the reader should identify the country or institution involved. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Stock Exchanges and the Dhaka Stock Exchange.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

* * *

Before moving on. Stock Exchanges and the Dhaka Stock Exchange can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. Carried forward. Meghna and Sons Limited has 120,000 issued shares of Tk 10 and an authorised capital of Tk 2,000,000 (200,000 shares); Rafiq, Imran and Sohel hold 60,000, 30,000 and 30,000 shares. At a board meeting on 10 February 2026 the directors considered raising Tk 4,000,000 for a second shop through an initial public offering of 400,000 new shares at Tk 10 each (400,000 x 10). The offering would need authorised capital to rise to at least 520,000 shares (120,000 + 400,000), Tk 5,200,000, and the company to become a public company. After the offering the three founders' 120,000 shares would be 23.1% of 520,000 shares (120,000 / 520,000) and outside investors would hold 76.9%. The board noted the cost of the offering and the loss of control, and deferred the decision. Imran Rafiq was asked to prepare a cost estimate by 31 March 2026.

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Idea and Principles of Cooperation.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Idea and Principles of Cooperation.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Idea and Principles of Cooperation.

Case file, illustrative. Case in this chapter is a members' purchasing society, an illustrative arrangement (membership rules differ by society and by law). On 3 February 2025 Meghna and Sons Limited joined the Dhaka Booksellers' Purchasing Society as one of 40 member shops. Each member holds one share of Tk 5,000, so share capital is Tk 200,000 (40 x 5,000). Each member has one vote. For the year ended 31 December 2025 the members bought books worth Tk 3,000,000 through the society. The society's surplus after costs was Tk 150,000. The general meeting voted to return 80% of the surplus to members as a patronage refund, Tk 120,000 (150,000 x 80/100), and to keep 20%, Tk 30,000, as a reserve. Meghna and Sons Limited bought books worth Tk 240,000 through the society, which is 8% of the total (240,000 / 3,000,000), so its refund was Tk 9,600 (120,000 x 8/100).

* * *

Before moving on. The Idea and Principles of Cooperation can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

7.2 TYPES AND OPERATION OF COOPERATIVES

Suppose you are looking at a business that must make a decision about types and operation of cooperatives. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Open membership** means the rule that anyone who meets the society's basic conditions may join, with no unfair barrier. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Types and Operation of Cooperatives begins with a concrete question before the rule is stated.

Open membership. the rule that anyone who meets the society's basic conditions may join, with no unfair barrier

The definition gives the boundary of open membership before the example is applied.

Broker. a licensed person or firm that buys and sells shares for clients and earns a fee

The definition gives the boundary of broker before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Stock Exchanges and the Dhaka Stock Exchange begins with a concrete question before the rule is stated.

The word **Broker** means a licensed person or firm that buys and sells shares for clients and earns a fee. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in The Initial Public Offering is what the initial public offering and the steps that lead to it changes in an ordinary business decision.

The answer begins with the definition: The initial public offering and the steps that lead to it. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in The Initial Public Offering.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in The Initial Public Offering.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in The Initial Public Offering.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in The Initial Public Offering.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in The Initial Public Offering.

* * *

Before moving on. The Initial Public Offering can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

9.3 STOCK EXCHANGES AND THE DHAKA STOCK EXCHANGE

Suppose you are looking at a business that must make a decision about stock exchanges and the dhaka stock exchange. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

is the point to carry into the next example in Types and Operation of Cooperatives.

* * *

Before moving on. Types and Operation of Cooperatives can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

7.3 IMPORTANCE AND LIMITS

Suppose you are looking at a business that must make a decision about importance and limits. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Democratic control** means the rule that each member has one vote, however many shares or how much business they bring. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Credit cooperative** means a society that collects savings from members and lends to them on fair terms. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Producer cooperative** means a society in which members make goods together and share the work and the reward. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Importance and Limits is what the importance of cooperatives and their limits changes in an ordinary business decision.

The answer begins with the definition: The importance of cooperatives and their limits. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Importance and Limits.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Importance and Limits.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into

The section recap gathers the main point before the next section.

Importance and Limits begins with a concrete question before the rule is stated.

Democratic control. the rule that each member has one vote, however many shares or how much business they bring

The definition gives the boundary of democratic control before the example is applied.

Credit cooperative. a society that collects savings from members and lends to them on fair terms

The definition gives the boundary of credit cooperative before the example is applied.

Producer cooperative. a society in which members make goods together and share the work and the reward

The definition gives the boundary of producer cooperative before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

Earlier ideas needed for this chapter are named before they are used.

Shares and Their Kinds begins with a concrete question before the rule is stated.

Ordinary share. a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit

The definition gives the boundary of ordinary share before the example is applied.

Primary market. the part of the share market where a company sells new shares directly to investors for the first time

The definition gives the boundary of primary market before the example is applied.

Stock exchange. an organised market with rules where approved members trade company shares and other securities

The definition gives the boundary of stock exchange before the example is applied.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

You will need: Chapter 6, 'Joint Stock Company', sections 6.1 'The Company and Its Shares', 6.2 'Private and Public Companies' and 6.3 'Forming a Company and Issuing a Prospectus'

9.1 SHARES AND THEIR KINDS

Suppose you are looking at a business that must make a decision about shares and their kinds. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Ordinary share** means a share whose holder votes at meetings and receives a dividend that rises and falls with the company's profit. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Primary market** means the part of the share market where a company sells new shares directly to investors for the first time. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Stock exchange** means an organised market with rules where approved members trade company shares and other securities. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Shares and Their Kinds is what ordinary and preference shares, and which kind suits which investor changes in an ordinary business decision.

The answer begins with the definition: Ordinary and preference shares, and which kind suits which investor. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Shares and Their Kinds is what the share market, with its primary and secondary parts changes in an ordinary business decision.

The answer begins with the definition: The share market, with its primary and secondary parts. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Shares and Their Kinds.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

THINK IT THROUGH

7.T1 define cooperative society and give three of its principles

7.T2 explain why one member has one vote and how that differs from a company

7.T3 name four kinds of cooperative and say who each helps

7.T4 describe how a surplus is shared

7.T5 a farmers' society sells its crop for Tk 600,000 against Tk 520,000 if each farmer sold alone and has 40 members, so find the gain per member and say what the members might do with a surplus

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

These questions test the ideas by changing the situation or asking for a distinction.

WHERE PEOPLE GO WRONG

One common error is to use a familiar word without checking its business meaning. Another is to apply a rule before identifying the facts that make the rule relevant. A third is to treat an example as proof that every business must behave in the same way. The correction in each case is to return to the definition, state the facts, apply the rule, and then test the exception.

Most errors arise when a related idea is treated as if it were identical.

IN HISTORY

The Rochdale Society of Equitable Pioneers, opened in Rochdale, England, in December 1844 in Toad Lane, and the rules it set for its members. Search hint: Rochdale Pioneers 1844 Toad Lane principles.. The historical example is useful because it places the business principle in time and gives the reader a concrete setting. It should not be treated as evidence for facts that are not stated in the chapter.

The historical case shows how the chapter's ideas appeared in a documented setting.

SOURCES

REVIEW QUESTIONS

7.R1 define cooperative society and give three of its principles

7.R2 explain why one member has one vote and how that differs from a company

7.R3 name four kinds of cooperative and say who each helps

7.R4 describe how a surplus is shared

These sources support the historical or defining material used in the chapter.

The review questions return to the same ideas in a direct form.

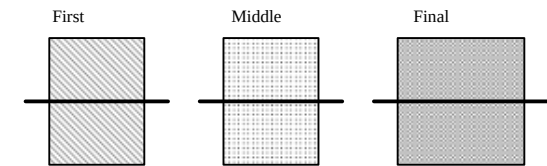
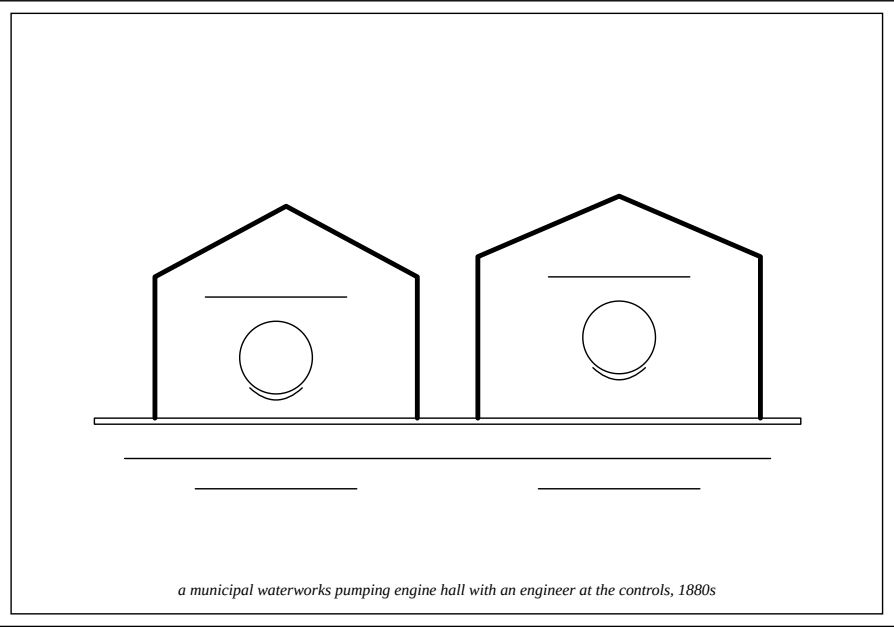


FIG. 8.1. a tree with state enterprise at the top and three branches: run as a government office, set up as a public corporation, formed as a government-owned company

Cross-references connect this chapter to related ideas elsewhere in the book.

The chapter points to: Chapter 6, 'Joint Stock Company', section 6.1 'The Company and Its Shares' — a government company is a company in law; Chapter 7, 'Cooperative Societies', section 7.1 'The Idea and Principles of Cooperation' — another form that does not exist only for private profit. These references are reminders of where a related idea is developed; they do not introduce a new definition here.



a municipal waterworks pumping engine hall with an engineer at the controls, 1880s

CHAPTER VIII

State Enterprise

How does the business idea become a workable decision?



Teach what a state enterprise is, why governments run businesses, the forms they take, and why many struggle to make a profit. The chapter builds the idea from ordinary experience to business practice.

The section recap gathers the main point before the next section.

The rule becomes more useful when the surrounding conditions are made explicit.

A second test is to ask what the idea does not include.

The principle can also be viewed from different positions.

A final application should return to the evidence.

The reader can test the rule by changing one fact at a time.

A worked case shows how the chapter's ideas can be applied without turning the case into a story.

The running case applies the section's rule to recorded facts.

The question is tested by the rule rather than by invented assumptions.

The chapter's main ideas can be recalled as a connected set rather than as isolated terms.

* * *

Before moving on. Performance and Reform can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

A business decision is affected by the setting in which it is made. The same form of ownership, resource choice, responsibility, or market arrangement can have different consequences when the people, law, money, or purpose changes. The reader should therefore state the relevant conditions before applying the rule. This is not an extra complication; it is part of using the definition accurately.

Definitions are useful because they separate one idea from another. A supplier is not the same as an investor, a shareholder is not the same as a manager, and a business decision is not the same as its eventual result. When two terms appear together, ask what question each term answers. That question often reveals the boundary more quickly than memorising a longer description.

An owner may focus on control and risk. A manager may focus on workable procedures. An employee may focus on duties and conditions. A customer may focus on price, quality, and service. These viewpoints do not change the definition of a term. They help the reader see why the same business arrangement can matter to several groups at once.

Before accepting a conclusion, identify the figures, dates, people, and decisions that support it. Then separate those facts from assumptions. If the evidence is incomplete, the conclusion should remain limited to what the evidence supports. This habit is especially important when a business case crosses different forms of ownership, institutions, countries, or periods.

If one amount, person, purpose, or condition changes, apply the same definition again. The result may stay the same or it may change. What matters is that the reader can identify the fact that caused the change and explain the connection rather than relying on the appearance of the example.

WORKED CASE

Situation. The documented running case contains recorded facts relevant to this chapter.

Case file, illustrative. none

Question. Which chapter idea best describes the recorded facts? Reasoning. Identify the relevant term, match it to the facts, and distinguish what is recorded from what would need further evidence. Conclusion. The rule can be applied only to the facts that satisfy its definition. Check. Change one fact and ask whether the same rule still applies.

SUMMARY

The central pattern is to identify the business situation, name the relevant idea, apply its rule, and then check its limits. The running case shows how the same principles operate in a recorded business setting. The definitions provide the vocabulary needed to make the distinctions precise.

and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Meaning, Need and Importance.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Meaning, Need and Importance.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Meaning, Need and Importance.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Meaning, Need and Importance.

Case file, illustrative. none

* * *

Before moving on. Meaning, Need and Importance can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

8.2 FORMS OF STATE ENTERPRISE

Suppose you are looking at a business that must make a decision about forms of state enterprise. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.

The word **Public sector** means all the businesses and organisations that the government owns or controls. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Departmental undertaking** means a state business run as a part of a government office and funded from its budget. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The word **Public utility** means a service that everyone needs and that is hard to supply through competition, such as water or electricity. A small example makes the boundary easier to see: imagine a local business facing one decision in which this idea matters. The decision can then be described using the term without changing its meaning.

The useful question in Forms of State Enterprise is what departmental undertaking, public corporation and government company compared changes in an ordinary business decision.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The section keeps the distinction practical and testable.

The running case applies the section's rule to recorded facts.

The section recap gathers the main point before the next section.

Forms of State Enterprise begins with a concrete question before the rule is stated.

Public sector. all the businesses and organisations that the government owns or controls

The definition gives the boundary of public sector before the example is applied.

Departmental undertaking. a state business run as a part of a government office and funded from its budget

The definition gives the boundary of departmental undertaking before the example is applied.

Public utility. a service that everyone needs and that is hard to supply through competition, such as water or electricity

The definition gives the boundary of public utility before the example is applied.

The paragraph connects the idea to a practical business question.

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The paragraph connects the idea to a practical business question.

The section keeps the distinction practical and testable.

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The section keeps the distinction practical and testable.

The section recap gathers the main point before the next section.

Performance and Reform begins with a concrete question before the rule is stated.

The answer begins with the definition: Departmental undertaking, public corporation and government company compared. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

The useful question in Forms of State Enterprise is what public utilities and joint ventures with private businesses changes in an ordinary business decision.

The answer begins with the definition: Public utilities and joint ventures with private businesses. This gives the idea a boundary, so it can be distinguished from nearby ideas.

Consider a small business before applying the rule. Its owner must decide what to buy, whom to serve, how to organise work, and what risks to accept.

A useful first step is to describe the situation without using the formal term. Ask who acts, what is being exchanged or controlled, what resource is involved, and what result is expected. This prevents a familiar word from hiding a different business meaning. This is the point to carry into the next example in Forms of State Enterprise.

The next step is to identify the relationship between the parts. A business rarely makes a decision in isolation. A choice about ownership can affect control and risk; a choice about resources can affect cost and capacity; a choice about customers can affect service and revenue. This is the point to carry into the next example in Forms of State Enterprise.

The rule becomes useful when it can guide a real decision. State the facts that matter, select the relevant definition, and apply the rule to those facts. If the facts do not fit the definition, stop and reconsider rather than forcing the example into the rule. This is the point to carry into the next example in Forms of State Enterprise.

The limits matter as much as the rule. Business conditions differ by place, law, market, time, and purpose. A principle may describe a common pattern without deciding every case. Where a legal or institutional difference matters, the reader should identify the country or institution involved. This is the point to carry into the next example in Forms of State Enterprise.

A second viewpoint is often helpful. The owner may care about control and risk, the manager about workable operations, the employee about duties and conditions, and the customer about price and service. The same decision can therefore have several relevant effects. This is the point to carry into the next example in Forms of State Enterprise.

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Before moving on. Forms of State Enterprise can be understood by asking what the term means, how it changes a decision, and where the rule has limits.

8.3 PERFORMANCE AND REFORM

Suppose you are looking at a business that must make a decision about performance and reform. What would you examine first? The safest starting point is the ordinary situation: what is being done, who is affected, what resources are involved, and what result is expected. Only after that should the formal business term be used.